

China Technology

Consumer electronics: Memory has moved on

Equities Electronic Equipment & Instruments

China

- ◆ Smartphone companies have gone from being demand drivers to price takers
- ◆ But we think if memory price inflation slows, that could be enough for margins to improve before shipments increase
- ◆ In a separate report published today, we initiate coverage of Xiaomi with a Buy rating and a TP of HKD33.20

Hope amid hard times. This report looks at what component shortages and higher memory prices mean for the economics of the smartphone market. The key message is that while average selling prices have jumped as costs surged, handset makers don't need memory prices to fall to recover. Any slowdown in AI-driven memory price inflation could be enough for margins to improve before shipments start to increase.

Stabilisation in 2027, recovery in 2028. IDC forecasts that global smartphone shipments will fall 16.7% y-o-y in 2026 – the steepest contraction in industry history – decline a further 2.9% in 2027, and rebound 4.5% y-o-y in 2028. The low base in 2026 should release some replacement demand but higher handset ASPs and a limited supply of low-end memory chips will likely limit the recovery. In China, handset inventories rose in 2H25 and 1Q26 before easing in 2Q, suggesting the shock of higher memory costs arrived before inventory and demand had normalised. We expect the first green shoots to appear in ASPs and gross margin, ahead of shipment numbers.

Memory inflation hit margins before consumer prices. Spot pricing moves first, followed by contract prices, handset makers' blended procurement costs, component inventory consumption, handset bill of materials (BOM) and reported gross margin. Lower-cost memory inventory delays the impact on earnings, while finished goods and channel inventories delay the ability to reprice. We see 4Q25-1Q26 as the margin-absorption phase, with the larger earnings impact likely to run through 2H26.

Higher costs to be passed on through new products. The main levers for handset makers are higher prices for new models, fewer discounts, slower RAM and storage upgrades, wider premiums for high-memory models and savings elsewhere in the BOM. Times are particularly tough because AI/server demand is tightening memory supply at a time when smartphone demand remains weak. In previous cycles, smartphones and PCs were major sources of DRAM and NAND demand, so higher memory costs coincided with better end demand. This time, handset makers are having to accept supplier-driven price increases without the same support from sales volumes.

MLCC risk. AI servers use more and higher-spec multi-layer ceramic capacitors (MLCCs), shifting supply to higher-value products. The effect on handset profits should be limited as these key components make up only a small part of the BOM. However, supply shortages can still disrupt production – if consumer-grade components are scarce, finding replacements takes time. See our [Xiaomi initiation report](#).

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Less bull, more bite

The 25th edition of the EM Sentiment Survey

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This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

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Exhibit 1. Stock valuations

Ticker	Company	Rating	TP	Price (LC)	Market Cap RMBm	DAV RMBm	PE (x)			EPS growth			EPS CAGR 2026-28e	PEG PB (x)		ROE 27e
							26e	27e	28e	26e	27e	28e		27e	27e	
1810 HK	Xiaomi-W	Buy	33.20	25.90	667,190	300,164	26.6	19.6	16.3	-43%	35%	20%	28%	0.7	1.9	10%
2018 HK	AAC Tech*	Buy	58.30	39.54	47,389	13,942	13.0	11.4	9.3	20%	14%	22%	18%	0.6	1.3	12%
2382 HK	Sunny Optical*	Buy	86.90	64.90	71,053	50,648	15.1	12.5	11.1	-14%	21%	13%	17%	0.7	1.7	14%
688608 SH	Bestechnic*	Buy	182.14	108.88	25,792	44,956	35.5	21.4	15.1	22%	66%	42%	53%	0.4	2.2	15%

Note: Priced as of 25 Sep 2026. Source: WIND, HSBC estimates, HSBC Qianhai Securities estimates (*covered by HSBC Qianhai Securities estimates)

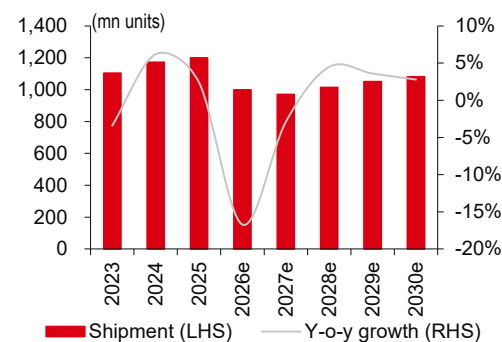
Why we think the smartphone market won't recover in 2027

The decline in 2026 will not create a strong replacement cycle next year

According to IDC forecasts made in June 2026, global smartphone shipments will fall 16.7% y-o-y in 2026e to just over 1bn units, decline a further 2.9% in 2027e, and then rebound 4.5% in 2028e when memory supply begins to normalise.

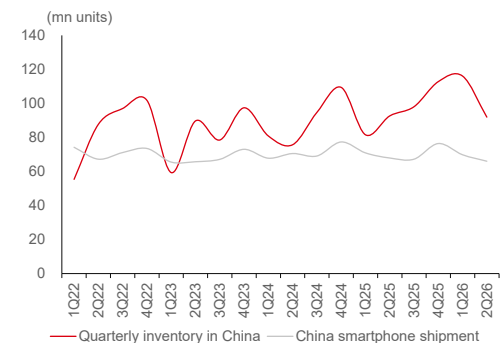
The low base should support replacement demand, but affordability remains the constraint. Higher memory costs are raising the bill of materials (BOM) for handsets and pushing manufacturers to either increase prices or reduce entry-level supply. The thinking is that a consumer who defers an upgrade in 2026 does not necessarily return in 2027 if the replacement device is materially more expensive, or offers less memory at the same price. We think premium markets should be more resilient, while entry-level Android demand is more exposed.

Exhibit 2. Global smartphone shipments: recovery pushed out to 2028e



Source: IDC estimates, HSBC

Exhibit 3. China smartphone inventories* were still elevated when memory costs began to rise



*Inventory proxy: China's smartphone production + imports - China's smartphone shipment - exports.
 Source: NBS, GAC, CAICT, HSBC

The first-half vendor data already show this split. Global shipments declined 5.5% y-o-y in 1H26. Apple and Samsung shipments rose 5.8% and 8.7%, respectively, while those for Xiaomi, OPPO and Vivo fell 22.8%, 13.8% and 13.5%, respectively (source: IDC). Memory is not the only explanation: product timing, geography, channel execution and inventory also matter. However, the divergence is consistent with stronger resilience at the premium end and greater volume pressure in price-sensitive Android segments.

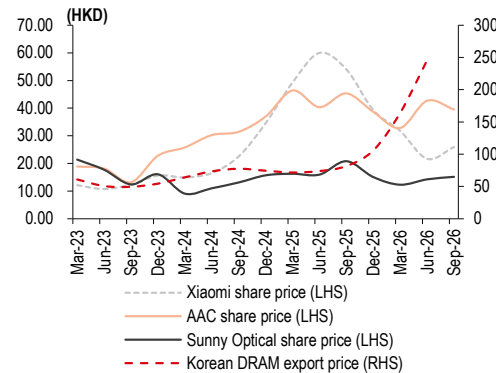
China's implied handset-inventory series point in the same direction. Inventory rose through 2H25 and reached another high in 1Q26 before easing in 2Q26. The series is calculated as production plus imports less domestic shipments and exports. It should be treated as a directional supply-chain proxy rather than actual channel inventory because the underlying datasets use different definitions and timing. The turning point is nevertheless useful: manufacturers entered the memory upcycle before the finished-goods cycle had fully normalised.

Memory pressure extends beyond smartphones, but the earnings sensitivity varies materially by product

TVs have seen a meaningful increase in memory's share of BOM as prices rose, while wearables, audio devices and other IoT products generally carry lower absolute memory content and therefore less direct P&L sensitivity. In these categories, selected niche-memory availability and channel inventory & pricing can matter more than headline DRAM or NAND moves. We are beginning to see signs that pricing momentum is moderating in some consumer and niche categories, although conditions remain tight in higher-capacity products. Our sector

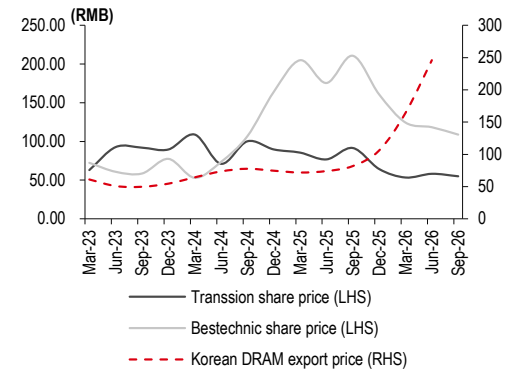
call is therefore about the second derivative: slower memory inflation is likely to moderate incremental cost pressure across consumer electronics before end-demand meaningfully recovers. That does not mean memory prices directly determine unit demand.

Exhibit 4. H-share smartphone supply chain share price vs. broader Korean DRAM export-price proxy



Source: Company data, HSBC

Exhibit 5. A-share consumer electronics share price vs. broader Korean DRAM export-price proxy



Note: Korean DRAM export price is a directional cycle indicator, not Xiaomi's procurement cost

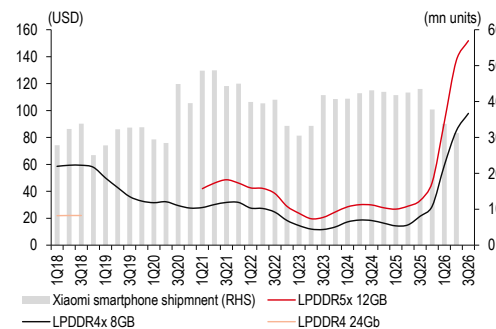
Source: Wind, Company data, HSBC

Higher memory prices do not directly determine smartphone shipments

Why memory inflation is not the sole cause of the fall in smartphone demand

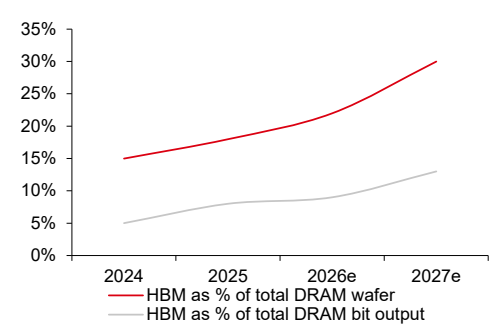
Xiaomi's historical shipment data suggests that the relationship is weak. Mobile DRAM prices have moved through several cycles since 2018, while Xiaomi's quarterly shipments have been driven more visibly by product launches and seasonality. Falling memory prices have not consistently triggered stronger shipments, while rising prices have not resulted in an immediate or proportionate decline in units.

Exhibit 6. DRAM price vs. smartphone shipments: limited historical correlation



Source: DRAMeXchange, IDC, HSBC

Exhibit 7. HBM capacity allocation crowds out conventional DRAM



Source: TrendForce estimates, HSBC

What is different this time is the source of the price increase

This does not mean memory prices are irrelevant with regards to demand. Consumers do not replace a phone because DRAM or NAND becomes cheaper, and they do not automatically cancel a replacement because memory becomes more expensive. Replacement age, macro conditions, product innovation, subsidies, retail financing and channel inventory remain the main drivers of unit sales. Memory prices affect demand indirectly once higher component costs change retail prices, available specifications, or the supply of low-end models.

What is different this time is the source of the price increase. In earlier cycles, smartphones and PCs were large contributors to incremental DRAM and NAND demand. The same healthy end demand that tightened memory supply also helped handset makers raise ASP and improve mix. In 2026, AI servers and high bandwidth memory (HBM) are pulling capacity and capital towards higher-return applications, while consumer electronics demand remains weak.

TrendForce, an industry research company based in Taiwan, expects overall mobile DRAM price hikes of around 8-13% q-o-q in 3Q26, given Samsung's already elevated base in 2Q26. The supply of low-power double data rate (LPDDR) RAM, a specialized type of computer memory designed to use less power and take up less physical space than standard RAM, is still tight.

In terms of NAND, TrendForce expects price increases of 10-15% in 3Q26, with contract prices already at record highs. As a result, we believe that weaker smartphone production may not be enough to bring memory prices down quickly. AI/server demand can continue to absorb available supply, leaving handset makers with less bargaining power than in a consumer electronics-led cycle.

When are higher memory prices reflected in reported earnings?

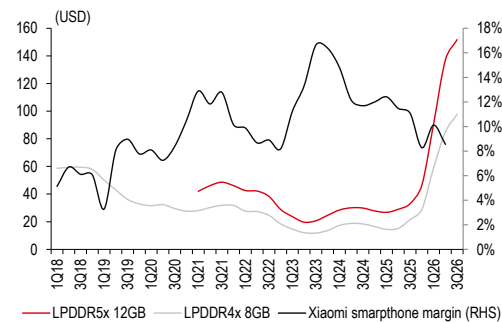
The simple answer is later than suggested by the spot price chart below (Exhibit 8), and with no fixed lag. Large smartphone OEMs procure most memory under contract rather than buying directly in the spot market. Spot prices affect negotiations and indicate direction, but the relevant cost is the OEM's blended contract price across suppliers, memory generations and purchase periods.

The transmission path: Spot price → contract price → OEM procurement cost → component inventory consumption → handset BOM → reported gross margin.

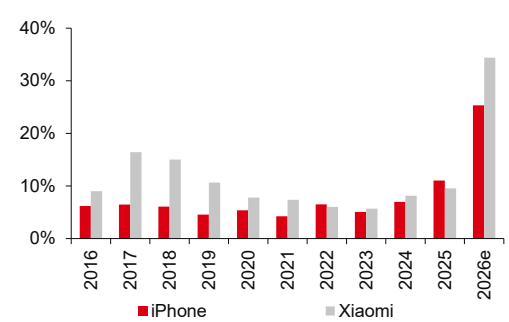
Rolling inventory delays the transmission in both directions. When contract prices rise, lower-cost DRAM and NAND inventory can temporarily protect reported margin. When memory prices stabilise or fall, more expensive inventory may still flow through the cost of goods sold (COGS) before the savings become visible. Existing finished goods and channel inventory can delay the impact further, as OEMs may need to sell older models before new launches can reset prices and specifications.

Exhibit 8 is consistent with a lagged but not fixed transmission of memory costs. Mobile DRAM prices began declining in 3Q22 and Xiaomi's smartphone margin subsequently improved, while the increase in mobile DRAM prices from 3Q24 was followed by weaker margins in 2025. This sequence is consistent with inventory-led cost transmission, but it does not establish a structural asymmetry or a fixed 2-3 quarters lag. Product mix, promotion, channel inventory and other component costs also affect Xiaomi's reported gross margin.

We believe 4Q25-1Q26 likely marked the initial absorption period, when contract price began resetting but lower-cost inventory still provided some protection. The impact of higher procurement costs should become more visible in 2H26 as inventories turn, although the timing and magnitude would depend on Xiaomi's procurement contracts, inventory position, shipment mix and product launch schedule. Margins could improve in 2027e if memory prices stabilise and new products provide greater scope for pricing, specs and mix adjustments.

Exhibit 8. Mobile DRAM prices vs. Xiaomi smartphone gross margin


Source: Wind, Xiaomi, HSBC

Exhibit 9. Memory accounts for a larger share of Xiaomi's smartphone COGS


Source: Apple, Xiaomi, DRAmEXchange, HSBC estimates

MLCCs: smaller cost, but a potentially larger operational risk

Multi-layer ceramic capacitors (MLCCs), the components that store and release electrical energy to stabilize voltage, are a key part of the story. AI demand is creating a more selective MLCC squeeze than the broad-based memory inflation discussed above. AI servers require substantially more MLCC content and a greater mix of high-capacitance and higher-specification parts than conventional servers. This does not mean smartphones directly compete for every component: the AI-grade components where supply is tightest and mainstream handset MLCCs often have different specifications.

Instead, the transmission mechanism is through capacity allocation and supply-chain behaviour. Japanese and Korean suppliers are increasingly prioritising higher-value AI and infrastructure products, while longer lead times, distributor restocking and precautionary ordering are beginning to spill over into some consumer-grade categories. Recent industry data point to a bifurcated market – tight high-end supply alongside a broader, but still uneven, tightening in mainstream products.

For smartphone handset makers, the direct earnings exposure is much smaller than for memory because MLCC accounts for only a small share of BOM. The operational risk, however, can be disproportionate. MLCCs are low-cost but specification- and qualification-sensitive components; replacing an unavailable part may require supplier qualification or board-level validation. A shortage in a relatively inexpensive component can delay production even when its impact on BOM cost is immaterial.

We view memory primarily as an earnings and affordability bottleneck, while MLCC represents a second-order production risk. The key factor to watch is whether today's tight supply of high-end components broadens into sustained shortages of qualified consumer-grade parts.

Premium brands have more room to pass through costs; mass-market brands have more margin exposure

Can Xiaomi pass through higher memory costs?

We believe the company is unlikely to pass through the full increase without affecting demand. Xiaomi's lower handset ASP leaves a smaller gross profit pool per device, while competition in mass-market price bands limits the scope for headline price increases. Xiaomi can partly offset the pressure through premiumisation, specification adjustments and lower promotional intensity, but it will likely absorb part of the higher cost through smartphone gross margin.

Our bottom-up estimates show that memory represents a meaningful and rising share of Xiaomi's handset cost base (Exhibit 9). For the selected Xiaomi models in our sample, estimated memory cost was generally equivalent to approximately 6-16% of handset COGS before 2024. Under our mobile DRAM and NAND contract price assumptions, the ratio rises to approximately 35% for the model selected in 2026 (Mi 18 Pro). Selected iPhone models are included as a benchmark: the corresponding ratio reaches approximately 25% in 2026e, as the iPhone's higher selling price provides a larger cost and gross profit buffer.

Exhibit 10. Comparison of selected iPhone and Xiaomi smartphone models memory usage

	2016	2017	2020	2021	2022	2023	2024	2025	2026
iPhone									
Model	iPhone 7	iPhone X	iPhone 12	iPhone 13	iPhone 14	iPhone 15	iPhone 16	iPhone 17	iPhone 18 Pro
RAM	2GB LPDDR4	3GB LPDDR4X	4GB LPDDR4X	4GB LPDDR4X	6GB LPDDR4X	6GB LPDDR5	8GB LPDDR5	8GB LPDDR5X	12GB LPDDR5X
ROM	32GB	64GB	64GB	128GB	128GB	128GB	128GB	256GB	256GB
Price (RMB)	5,388	8,388	6,299	5,999	5,999	5,999	5,999	5,999	8,999
Xiaomi									
Model	Mi 5	Mi 6	Mi 11	Mi 12	Mi 13	Mi 14	Mi 15	Mi 17	Mi 18 Pro
RAM	2GB LPDDR4	6GB LPDDR4X	8GB LPDDR5	8GB LPDDR5	8GB LPDDR5X	8GB LPDDR5X	12GB LPDDR5X	12GB LPDDR5X	12GB LPDDR5X
ROM	32GB	64GB	128GB	128GB	128GB	256GB	256GB	256GB	256GB
Price (RMB)	1,999	2,499	3,999	3,999	3,999	3,999	4,499	4,499	4,999

Source: Company data, HSBC

The comparison does not suggest that Xiaomi necessarily uses more memory per device. Rather, a similar dollar increase in DRAM and NAND cost has a larger proportional impact on a lower-priced model. Xiaomi could raise prices to protect unit economics, but this risks weakening demand in price-sensitive markets. It could also reduce memory specifications or promotional intensity, although these measures may affect product competitiveness. Premiumisation provides the most constructive offset, but is unlikely to fully neutralise the near-term cost increase across Xiaomi's portfolio.

Pass-through likely to come through new product launches

Increasing the official price of an existing handset is usually impractical because the product already has a retail reference point and channel inventory. The adjustment instead takes place at the next launch.

- ◆ The first lever is **the launch price and effective ASP**. OEMs can raise the next generation's starting price, reduce launch subsidies, cut discounts or push demand toward Pro and Ultra variants. The nominal entry price can remain unchanged while realised ASP rises because the base model receives less promotion or has lower availability.
- ◆ The second lever is **memory specification**. Upgrades from 8GB to 12GB of RAM or from 256GB to 512GB of storage can be delayed. The base SKU can retain a smaller configuration while premium models continue to upgrade. TrendForce still expects average smartphone DRAM capacity to reach 8.5GB in 2026, up 10% y-o-y, but the average masks a larger split between premium and low-end models (source: TrendForce, May 2026).
- ◆ The third lever is **stock keeping unit (SKU) structure**. OEMs can widen the price gap between 256GB and 512GB products, remove a low-priced high-memory version, or reserve newer memory technology for flagship models. This recovers more of the cost from less price-sensitive buyers.
- ◆ The fourth lever is **cost reduction elsewhere**. OEMs can press camera, display, mechanical and other suppliers for savings, trim other specifications, reduce promotional spending or accept temporary margin pressure. Memory inflation can become a pricing-pressure event for the wider handset supply chain even if the official handset price changes only modestly.

2027: margins to recover before unit sales

By 2027, most OEMs should have completed one or two launch cycles under the higher memory-cost regime. This should allow higher effective ASP, narrower discounts, redesigned memory tiers and lower low-end exposure to stabilise gross margin. IDC's forecast of a further 2.9% shipment decline is therefore compatible with better earnings.

For Xiaomi, the key question is whether new launches restore smartphone gross margin without causing a disproportionate loss of unit shipments. Our base case is for a slight decrease in shipments in 2027e, while ASP continues to improve and gross margin stabilises. The bull case would require memory supply to normalise earlier, allowing OEMs to restore lower-priced products while deferred replacement demand is released. The bear case is persistent LPDDR tightness combined with weaker consumer demand, forcing another round of production cuts, specification reductions and margin absorption.

The bottom line

Global smartphone shipments are unlikely to recover meaningfully in 2027, but OEM earnings could improve as new product cycles enable greater cost pass-through and margin normalisation. For Xiaomi, the reported earnings recovery will depend on inventory turnover and execution on pricing and mix, while the equity market may anticipate the inflection before it becomes visible in reported margins.

Exhibit 11. Xiaomi: Peer valuations

Ticker	Company	Rating	TP	Price (LC)	Market cap (LC)	DAV (LC)	PE (x)			EPS growth		EPS CAGR		PEG	PB (x)		ROE
							26e	27e	28e	26e	27e	28e	2026-28e		27e	26e	
1810.HK	Xiaomi-W	Buy	33.20	25.90	667,190	300,164	26.6	19.9	16.3	-43%	35%	20%	28%	0.7	1.9	10%	
2018.HK	AAC Tech*	Buy	58.30	39.54	47,389	13,942	13.0	11.4	9.3	20%	14%	22%	18%	0.6	1.3	12%	
2382.HK	Sunny Optical*	Buy	86.90	64.90	71,053	50,648	15.1	12.5	11.1	-14%	21%	13%	17%	0.7	1.7	14%	
000333.SZ	Midea Group-A*	Buy	97.00	82.65	630,217	165,596	15.8	13.0	12.3	-3%	21%	6%	13%	1.0	2.5	20%	
002594.SZ	BYD-A	Buy	121.00	84.34	705,841	210,970	19.9	15.0	12.8	18%	33%	17%	25%	0.6	2.6	18%	
688036.SH	Transsion			54.92	63,223	63,786	17.8	13.3	10.1	36%	34%	32%	33%	0.4	2.6	20%	
603296.SH	Huaqin Technology			79.11	118,148	129,630	21.5	17.7	14.3	-9%	22%	24%	23%	0.8	3.2	19%	
600690.SH	Haier Smart Home			20.14	172,982	56,137	9.6	8.8	8.1	-1%	9%	9%	9%	1.0	1.4	15%	
300433.SZ	Lens			32.87	169,179	280,591	35.0	25.4	20.3	19%	38%	25%	31%	0.8	2.8	11%	
002273.SZ	Crystal-Optech			25.17	35,002	100,100	24.6	20.1	16.4	19%	22%	23%	23%	0.9	2.8	14%	
300866.SZ	Anker Innovations			122.60	71,098	31,453	20.9	17.2	14.2	23%	21%	21%	21%	0.8	4.3	25%	
Average							20.0	15.8	13.2	6%	25%	19%	22%	0.9	2.5	16%	

Note: Priced at close on 25 Sep 2026.

Source: Bloomberg, HSBC estimates, HSBC Qianhai Securities estimates. *covered by HSBC Qianhai Securities estimates.

Valuation and risks

	Valuation	Risks
Xiaomi 1810 HK Buy	Current price: HKD25.90 Target price: HKD33.20 Up/downside: +28% We forecast an adjusted net income CAGR of 28% over 2026-28e. We value Xiaomi on a PEG framework as it better captures earnings growth during the current business and margin transition. Our peer group spans consumer electronics brands, components, smart-home companies and automakers, reflecting Xiaomi's increasingly diversified earnings profile. We use the peer-group average 2027e PEG of c0.9x to derive a 25x target PE. Applied to our 2027e EPS of RMB1.13 and HSBC FX team's end-2026e HKD/RMB of 1.18, this gives a target price of HKD33.20, implying 28% upside. We rate the stock as Buy. RMB counter (81810 HK) – We convert our H-share target price of HKD33.20 to RMB based on HSBC Global Investment Research FX team's end-2026e forecast for RMB-HKD of 1.18. This returns a target price of RMB28.14 for the RMB counter. Yuqian Ding* yuqian.ding@hsbc.com.hk +852 2288 5108	Key downside risks: ◆ Component shortages ◆ Competition in IoT and internet services ◆ FX volatility
AAC 2018 HK Buy	Current price: HKD39.54 Target price: HKD58.30 Up/downside: +47% We use a target multiple of 18x to value the stock. We estimate a c18% 2026-28 net profit CAGR, vs. historical average PE multiple of c17.6x in 2021-25 with a c18% net profit CAGR in the same time period ($17.6 / 17.5\% \times 18\% = 18x$). Against our 12-month forward EPS estimate of RMB2.76 and based on an RMB-HKD cross rate of 1.17, we arrive at our target price of HKD58.30. Our TP implies c47% upside; therefore we maintain our Buy rating on the stock. We expect AAC's growth opportunities to roll out across its multiple product segments. Bingyi Zheng* (Reg. No. S1700521060001) bingyi.zheng@hsbcqh.com.cn +86 21 5066 2028	Key downside risks: ◆ Order cuts from key customers ◆ Slower-than-expected margin recovery ◆ Lower-than-expected sales of metal casings
Sunny Optical 2382 HK Buy	Current price: HKD64.90 Target price: HKD86.90 Up/downside: +34% We continue to value Sunny with a PE approach and assign a 12-month forward target PE of 20x (unchanged, we estimate a 13% CAGR in 2025-27e, vs. 16% CAGR in 2022-25 when PE rated at 25x, $20x = 25x / 16\% \times 13\%$). Applying the target PE to our 12-month forward EPS estimate of RMB3.79 (unchanged) and using an RMB-HKD of 1.15 (unchanged), we arrive at our TP of HKD86.90 (unchanged), implying c34% upside. Accordingly, we maintain Buy rating. Bingyi Zheng* (Reg. No. S1700521060001) bingyi.zheng@hsbcqh.com.cn +86 21 5066 2028	Key downside risks: ◆ Slower shipments and lower pricing due to competition ◆ Raw material cost increases ◆ FX volatility
Bestechnic 688608 CH Buy	Current price: RMB108.88 Target price: RMB182.14 Up/downside: +67% We use A-share IC design companies as Bestechnic's valuation peers. The sector is trading at an average 2026e PEG of 1.2x (unchanged). Based on our net profit CAGR of 42% in 2025-28e, we derive a target PE multiple of 51x. Against our 12-month forward EPS estimate of RMB3.57, we derive our target price of RMB182.14, which implies 67% upside from current levels; accordingly, we maintain our Buy rating on the stock. Bingyi Zheng* (Reg. No. S1700521060001) bingyi.zheng@hsbcqh.com.cn +86 21 5066 2028	Key downside risks: ◆ Rising foundry costs ◆ Failure to keep pace with process upgrades ◆ Weaker-than-expected AI glass demand

Priced at 25 Sep 2026
 Source: HSBC estimates, HSBC Qianhai Securities estimates

Financials & valuation: Xiaomi

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (CNYm)				
Revenue	457,287	432,312	504,818	559,703
EBITDA	56,658	36,490	41,455	51,869
Depreciation & amortisation	-8,757	-9,615	-11,994	-14,063
Operating profit/EBIT	47,901	26,875	29,461	37,806
Net interest	1,746	2,740	2,207	1,806
PBT	49,647	29,615	31,667	39,613
HSBC PBT	47,170	26,568	34,931	42,876
Taxation	-8,080	-4,315	-4,800	-6,590
Net profit	41,643	25,328	26,898	33,060
HSBC net profit	39,166	22,281	30,161	36,323
Cash flow summary (CNYm)				
Cash flow from operations	34,142	35,925	39,078	46,552
Capex	-18,157	-20,000	-20,000	-15,000
Cash flow from investment	-71,679	-45,000	-45,000	-40,000
Dividends	0	0	0	0
Change in net debt	-1,793	12,128	9,097	-2,695
FCF equity	15,985	15,925	19,078	31,552
Balance sheet summary (CNYm)				
Intangible fixed assets	8,319	7,655	6,400	5,216
Tangible fixed assets	157,816	171,919	184,355	190,333
Current assets	254,811	236,395	249,474	268,088
Cash & others	82,802	70,673	61,577	64,272
Total assets	508,096	528,119	577,378	625,786
Operating liabilities	205,649	200,372	222,764	238,150
Gross debt	36,124	36,124	36,124	36,124
Net debt	-46,678	-34,550	-25,453	-28,148
Shareholders' funds	266,218	291,547	318,444	351,504
Invested capital	132,496	144,924	155,888	161,215

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	25.0	-5.5	16.8	10.9
EBITDA	83.8	-35.6	13.6	25.1
Operating profit	95.5	-43.9	9.6	28.3
PBT	76.5	-40.3	6.9	25.1
HSBC EPS	37.4	-43.1	35.4	20.4
Ratios (%)				
Revenue/IC (x)	4.4	3.1	3.4	3.5
ROIC	41.3	18.8	19.1	22.5
ROE	17.2	8.0	9.9	10.8
ROA	8.8	4.4	4.5	5.2
EBITDA margin	12.4	8.4	8.2	9.3
Operating profit margin	10.5	6.2	5.8	6.8
EBITDA/net interest (x)				
Net debt/equity	-17.5	-11.8	-8.0	-8.0
Net debt/EBITDA (x)	-0.8	-0.9	-0.6	-0.5
CF from operations/net debt				
Per share data (CNY)				
EPS Rep (diluted)	1.56	0.95	1.01	1.24
HSBC EPS (diluted)	1.47	0.83	1.13	1.36
DPS	0.00	0.00	0.00	0.00
Book value	9.97	10.92	11.93	13.17

Key forecast drivers

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Smartphone	186,440	168,454	175,779	187,241
IoT and lifestyle products	123,200	117,507	136,046	162,637
Internet services	37,440	38,706	41,577	44,840
EV	106,070	103,591	147,443	161,091
Others	4,137	4,054	3,973	3,894

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	0.7	0.8	0.6	0.5
EV/EBITDA	6.0	8.9	7.5	5.4
EV/IC	2.6	2.3	2.0	1.8
PE*	15.1	26.6	19.6	16.3
PB	2.2	2.0	1.9	1.7
FCF yield (%)	3.4	3.4	4.0	6.7
Dividend yield (%)	0.0	0.0	0.0	0.0

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2025a	Governance Indicators	12/2025a
GHG emission intensity*	n/a	No. of board members	7
Energy intensity*	n/a	Average board tenure (years)	8.8
CO ₂ reduction policy	Yes	Female board members (%)	14.3
Social Indicators		Board members independence (%)	42.9
12/2025a			
Employee costs as % of revenues	n/a		
Employee turnover (%)	n/a		
Diversity policy	Yes		

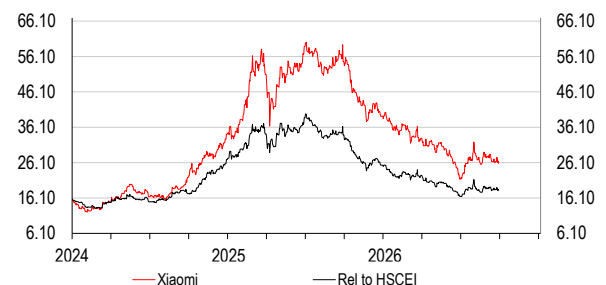
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (HKD)	25.90	Free float	64%
Target price (HKD)	33.20	Sector	Communications Equipment
RIC (Equity)	1810.HK	Country/Region	China
Bloomberg (Equity)	1810 HK	Analyst	Yujian Ding
Market cap (USDm)	70,432	Contact	+852 2288 5108

Price relative



Source: HSBC

Note: Priced at close of 25 Sep 2026

Financials & valuation: AAC Technologies

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (CNYm)				
Revenue	31,817	37,230	43,621	50,884
EBITDA	5,094	6,036	6,419	7,416
Depreciation & amortisation	-2,505	-2,626	-2,368	-2,446
Operating profit/EBIT	2,589	3,410	4,051	4,969
Net interest	-395	-397	-390	-390
PBT	2,887	3,485	4,143	5,071
HSBC PBT	2,887	3,485	4,143	5,071
Taxation	-347	-523	-746	-913
Net profit	2,512	3,002	3,437	4,198
HSBC net profit	2,512	3,002	3,437	4,198
Cash flow summary (CNYm)				
Cash flow from operations	7,183	1,443	5,098	5,713
Capex	-2,834	-2,976	-3,124	-3,281
Cash flow from investment	-3,952	-2,976	-3,124	-3,281
Dividends	-277	-404	-1,114	-728
Change in net debt	-2,407	1,937	-860	-1,704
FCF equity	4,349	-1,532	1,974	2,432
Balance sheet summary (CNYm)				
Intangible fixed assets	1,639	1,639	1,639	1,639
Tangible fixed assets	20,532	18,467	19,223	20,057
Current assets	22,202	20,758	24,191	28,671
Cash & others	8,612	6,676	7,535	9,239
Total assets	48,978	45,469	49,657	54,972
Operating liabilities	16,036	9,928	11,794	13,639
Gross debt	7,999	7,999	7,999	7,999
Net debt	-613	1,323	464	-1,241
Shareholders' funds	24,357	26,955	29,278	32,748
Invested capital	19,725	24,260	25,724	27,490

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	16.4	17.0	17.2	16.7
EBITDA	8.6	18.5	6.3	15.5
Operating profit	24.5	31.7	18.8	22.7
PBT	45.0	20.7	18.9	22.4
HSBC EPS	42.3	19.5	14.5	22.1
Ratios (%)				
Revenue/IC (x)	1.6	1.7	1.7	1.9
ROIC	11.3	13.2	13.3	15.3
ROE	10.7	11.7	12.2	13.5
ROA	5.3	6.3	7.1	7.9
EBITDA margin	16.0	16.2	14.7	14.6
Operating profit margin	8.1	9.2	9.3	9.8
EBITDA/net interest (x)	12.9	15.2	16.5	19.0
Net debt/equity	-2.5	4.9	1.6	-3.8
Net debt/EBITDA (x)	-0.12	0.22	0.07	-0.17
CF from operations/net debt		109.1	1099.5	
Per share data (CNY)				
EPS Rep (diluted)	2.18	2.60	2.98	3.63
HSBC EPS (diluted)	2.18	2.60	2.98	3.63
DPS	0.35	0.39	0.45	0.55
Book value	21.09	23.34	25.35	28.36

Key forecast drivers

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Dynamic Component + Microphone	9,593	10,306	10,928	11,326
Haptic vibrator	4,664	4,590	4,881	4,950
RF mechanicals	5,847	8,836	12,687	18,256
Others	11,712	13,498	15,125	16,353
Total	31,817	37,230	43,621	50,884

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	1.20	1.08	0.90	0.74
EV/EBITDA	7.49	6.64	6.11	5.06
EV/IC	1.93	1.65	1.52	1.36
PE*	15.6	13.0	11.4	9.3
PB	1.6	1.4	1.3	1.2
FCF yield (%)	11.1	-3.9	5.1	6.2
Dividend yield (%)	1.0	1.2	1.3	1.6

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2024a	Governance Indicators	12/2025a
GHG emission intensity*	n/a	No. of board members	6
Energy intensity*	n/a	Average board tenure (years)	12.5
CO ₂ reduction policy	Yes	Female board members (%)	16.7
Social Indicators		Board members independence (%)	50
12/2024a			
Employee costs as % of revenues	n/a		
Employee turnover (%)	n/a		
Diversity policy	Yes		

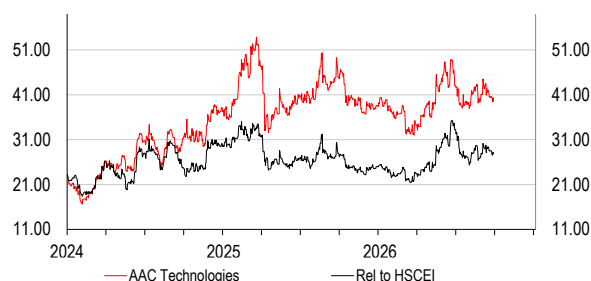
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (HKD)	39.54	Free float	50%
Target price (HKD)	58.30	Sector	Electronic Equipment
RIC (Equity)	2018.HK	Country/Region	China
Bloomberg (Equity)	2018 HK	Analyst	Bingyi Zheng
Market cap (USDm)	5,814	Contact	+86 21 5066 2028

Price relative



Source: HSBC

Note: Priced at close of 25 Sep 2026

Financials & valuation: Sunny Optical

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (CNYm)				
Revenue	43,229	46,458	52,213	58,310
EBITDA	8,058	7,212	8,240	9,124
Depreciation & amortisation	-2,377	-2,377	-2,439	-2,613
Operating profit/EBIT	5,681	4,835	5,801	6,511
Net interest	-436	-318	-318	-318
PBT	5,416	4,679	5,630	6,340
HSBC PBT	5,416	4,679	5,630	6,340
Taxation	-609	-562	-676	-761
Net profit	4,639	3,994	4,831	5,456
HSBC net profit	4,639	3,994	4,831	5,456
Cash flow summary (CNYm)				
Cash flow from operations	6,080	7,408	7,021	7,832
Capex	-2,931	-3,078	-3,231	-3,393
Cash flow from investment	-999	-899	-511	-21
Dividends	-536	-1,152	-992	-1,063
Change in net debt	-290	-4,860	-5,104	-6,191
FCF equity	3,149	4,330	3,790	4,439
Balance sheet summary (CNYm)				
Intangible fixed assets	62	71	82	94
Tangible fixed assets	9,818	11,812	12,681	13,538
Current assets	42,363	46,185	53,980	63,080
Cash & others	18,890	23,856	29,088	35,429
Total assets	59,215	73,761	85,471	99,131
Operating liabilities	26,275	26,683	29,555	32,682
Gross debt	3,176	3,282	3,410	3,561
Net debt	-15,714	-20,574	-25,678	-31,868
Shareholders' funds	29,149	31,991	35,830	40,223
Invested capital	7,078	7,528	8,099	8,600

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	12.9	7.5	12.4	11.7
EBITDA	40.2	-10.5	14.3	10.7
Operating profit	61.2	-14.9	20.0	12.2
PBT	72.3	-13.6	20.3	12.6
HSBC EPS	71.9	-13.9	20.9	12.9
Ratios (%)				
Revenue/IC (x)	7.7	6.4	6.7	7.0
ROIC	89.5	58.3	65.3	68.6
ROE	17.2	13.1	14.2	14.3
ROA	8.5	6.2	6.2	6.0
EBITDA margin	18.6	15.5	15.8	15.6
Operating profit margin	13.1	10.4	11.1	11.2
EBITDA/net interest (x)	18.5	22.7	25.9	28.7
Net debt/equity	-53.9	-64.3	-71.7	-79.2
Net debt/EBITDA (x)	-2.0	-2.9	-3.1	-3.5
CF from operations/net debt				
Per share data (CNY)				
EPS Rep (diluted)	4.27	3.67	4.44	5.02
HSBC EPS (diluted)	4.27	3.67	4.44	5.02
DPS	0.49	1.06	0.91	0.98
Book value	26.80	29.41	32.94	36.98

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	0.9	0.7	0.6	0.4
EV/EBITDA	5.0	4.8	3.5	2.4
EV/IC	5.7	4.6	3.6	2.6
PE*	13.0	15.1	12.5	11.1
PB	2.1	1.9	1.7	1.5
FCF yield (%)	5.3	7.2	6.3	7.4
Dividend yield (%)	0.9	1.9	1.6	1.8

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2024a	Governance Indicators	12/2025a
GHG emission intensity*	65.7	No. of board members	7
Energy intensity*	147.7	Average board tenure (years)	8.8
CO ₂ reduction policy	Yes	Female board members (%)	14.3
Social Indicators		Board members independence (%)	42.9
12/2024a			
Employee costs as % of revenues	13.4		
Employee turnover (%)	5.2		
Diversity policy	Yes		

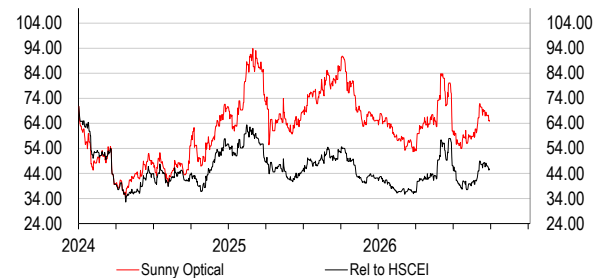
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (HKD)	64.90	Free float	100%
Target price (HKD)	86.90	Sector	Electronic Equipment
RIC (Equity)	2382.HK	Country/Region	China
Bloomberg (Equity)	2382 HK	Analyst	Bingyi Zheng
Market cap (USDm)	8,927	Contact	+86 21 5066 2028

Price relative



Source: HSBC

Note: Priced at close of 25 Sep 2026

Financials & valuation: Bestechnic

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (CNYm)				
Revenue	3,525	4,201	5,921	7,336
EBITDA	563	656	1,156	1,678
Depreciation & amortisation	-86	-63	-81	-102
Operating profit/EBIT	477	593	1,074	1,576
Net interest	40	70	76	85
PBT	595	741	1,229	1,740
HSBC PBT	595	741	1,229	1,740
Taxation	-1	-15	-25	-35
Net profit	594	727	1,205	1,705
HSBC net profit	519	727	1,205	1,705
Cash flow summary (CNYm)				
Cash flow from operations	447	708	868	1,351
Capex	-156	-126	-178	-220
Cash flow from investment	-576	-146	-198	-240
Dividends	-146	-236	-218	-361
Change in net debt	275	-326	-453	-879
FCF equity	290	562	671	1,111
Balance sheet summary (CNYm)				
Intangible fixed assets	105	90	73	54
Tangible fixed assets	137	235	368	525
Current assets	6,686	7,186	8,172	9,465
Cash & others	3,536	3,861	4,314	5,193
Total assets	7,518	8,101	9,203	10,634
Operating liabilities	455	547	663	750
Gross debt	10	10	10	10
Net debt	-3,525	-3,851	-4,304	-5,183
Shareholders' funds	7,053	7,543	8,530	9,874
Invested capital	2,938	3,102	3,637	4,101

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	8.0	19.2	40.9	23.9
EBITDA	37.9	16.5	76.1	45.2
Operating profit	49.3	24.3	81.2	46.7
PBT	28.9	24.6	65.8	41.5
HSBC EPS	-6.1	0.1	65.8	41.5
Ratios (%)				
Revenue/IC (x)	1.4	1.4	1.8	1.9
ROIC	20.5	20.4	32.3	40.9
ROE	7.6	10.0	15.0	18.5
ROA	8.2	9.3	13.9	17.2
EBITDA margin	16.0	15.6	19.5	22.9
Operating profit margin	13.5	14.1	18.1	21.5
EBITDA/net interest (x)				
Net debt/equity	-50.0	-51.1	-50.5	-52.5
Net debt/EBITDA (x)	-6.3	-5.9	-3.7	-3.1
CF from operations/net debt				
Per share data (CNY)				
EPS Rep (diluted)	3.52	3.07	5.10	7.22
HSBC EPS (diluted)	3.07	3.07	5.10	7.22
DPS	1.40	0.92	1.53	2.16
Book value	41.81	31.84	36.01	41.68

Key forecast drivers

Year to	12/2025a	12/2026e	12/2027e	12/2028e
TWS/OWS	1,868	1,735	1,853	1,939
Watch/Band	1,234	1,827	2,827	3,662
Other IoT devices	208	229	251	289
Glass	35	177	698	1,096

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	6.1	5.1	3.5	2.7
EV/EBITDA	38.5	32.5	18.1	11.9
EV/IC	7.4	6.9	5.7	4.9
PE*	35.4	35.4	21.4	15.1
PB	2.6	3.4	3.0	2.6
FCF yield (%)	1.1	2.2	2.6	4.3
Dividend yield (%)	1.3	0.8	1.4	2.0

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2025a	Governance Indicators	12/2025a
GHG emission intensity*	1.4	No. of board members	6
Energy intensity*	2.7	Average board tenure (years)	[n/a]
CO ₂ reduction policy	Yes	Female board members (%)	33.3
Social Indicators		Board members independence (%)	33.3
12/2025a			
Employee costs as % of revenues	13.3		
Employee turnover (%)	12.2		
Diversity policy	Yes		

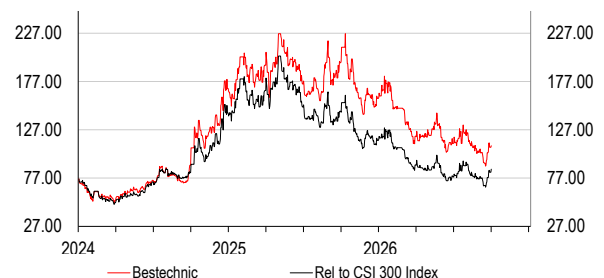
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (CNY)	108.88	Free float	100%
Target price (CNY)	182.14	Sector	Electronic Equipment
RIC (Equity)	688608.SS	Country/Region	China
Bloomberg (Equity)	688608 CH	Analyst	Bingyi Zheng
Market cap (USDm)	3,842	Contact	+86 21 5066 2028

Price relative



Source: HSBC

Note: Priced at close of 25 Sep 2026

Disclosure appendix

Analyst Certification

The following analyst(s), economist(s), or strategist(s) who is(are) primarily responsible for this report, including any analyst(s) whose name(s) appear(s) as author of an individual section or sections of the report and any analyst(s) named as the covering analyst(s) of a subsidiary company in a sum-of-the-parts valuation certifies(y) that the opinion(s) on the subject security(ies) or issuer(s), any views or forecasts expressed in the section(s) of which such individual(s) is(are) named as author(s), and any other views or forecasts expressed herein, including any views expressed on the back page of the research report, accurately reflect their personal view(s) and that no part of their compensation was, is or will be directly or indirectly related to the specific recommendation(s) or views contained in this research report: Yuqian Ding and Bingyi Zheng

Important disclosures

Equities: Stock ratings and basis for financial analysis

HSBC and its affiliates, including the issuer of this report ("HSBC") believes an investor's decision to buy or sell a stock should depend on individual circumstances such as the investor's existing holdings, risk tolerance and other considerations and that investors utilise various disciplines and investment horizons when making investment decisions. Ratings should not be used or relied on in isolation as investment advice. Different securities firms use a variety of ratings terms as well as different rating systems to describe their recommendations and therefore investors should carefully read the definitions of the ratings used in each research report. Further, investors should carefully read the entire research report and not infer its contents from the rating because research reports contain more complete information concerning the analysts' views and the basis for the rating.

HSBC assigns ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

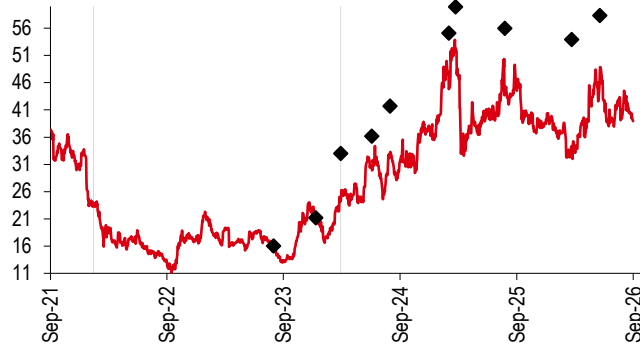
Rating distribution for long-term investment opportunities

As of 30 June 2026, the distribution of all independent ratings published by HSBC is as follows:

Buy	61%	(13% of these provided with Investment Banking Services in the past 12 months)
Hold	34%	(10% of these provided with Investment Banking Services in the past 12 months)
Sell	5%	(8% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

For the distribution of non-independent ratings published by HSBC, please see the disclosure page available at <http://www.hsbcnet.com/gbm/financial-regulation/investment-recommendations-disclosures>.

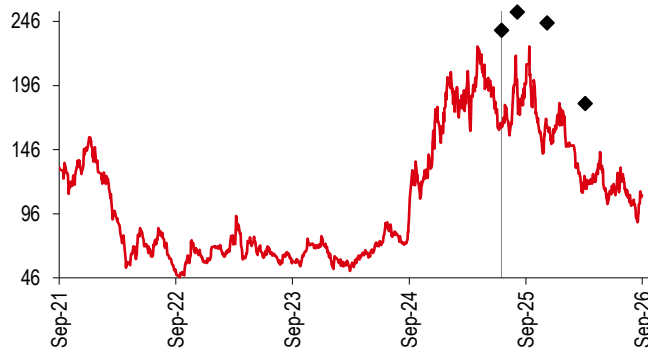
Share price and rating changes for long-term investment opportunities
**AAC Technologies (2018.HK) share price performance
HKD Vs HSBC rating history**


Source: HSBC

Rating & target price history

From	To	Date	Analyst
Buy	Hold	10 Feb 2022	Frank He
Hold	Buy	26 Mar 2024	Frank He
Target price	Value	Date	Analyst
Price 1	16.00	29 Aug 2023	Frank He
Price 2	21.20	08 Jan 2024	Frank He
Price 3	33.00	26 Mar 2024	Frank He
Price 4	36.20	01 Jul 2024	Frank He
Price 5	41.70	28 Aug 2024	Frank He
Price 6	55.10	28 Feb 2025	Frank He
Price 7	59.90	21 Mar 2025	Frank He
Price 8	56.00	22 Aug 2025	Frank He
Price 9	53.90	20 Mar 2026	Bingyi Zheng
Price 10	58.30	16 Jun 2026	Bingyi Zheng

Source: HSBC

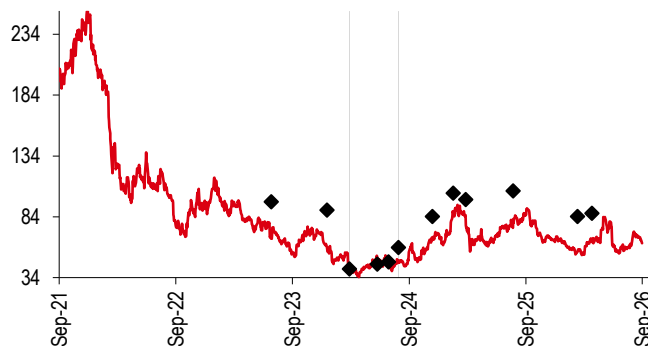
**Bestechnic (688608.SS) share price performance CNY
Vs HSBC rating history**


Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	15 Jul 2025	Bingyi Zheng
Target price	Value	Date	Analyst
Price 1	239.29	15 Jul 2025	Bingyi Zheng
Price 2	253.57	02 Sep 2025	Bingyi Zheng
Price 3	245.00	05 Dec 2025	Bingyi Zheng
Price 4	182.14	03 Apr 2026	Bingyi Zheng

Source: HSBC

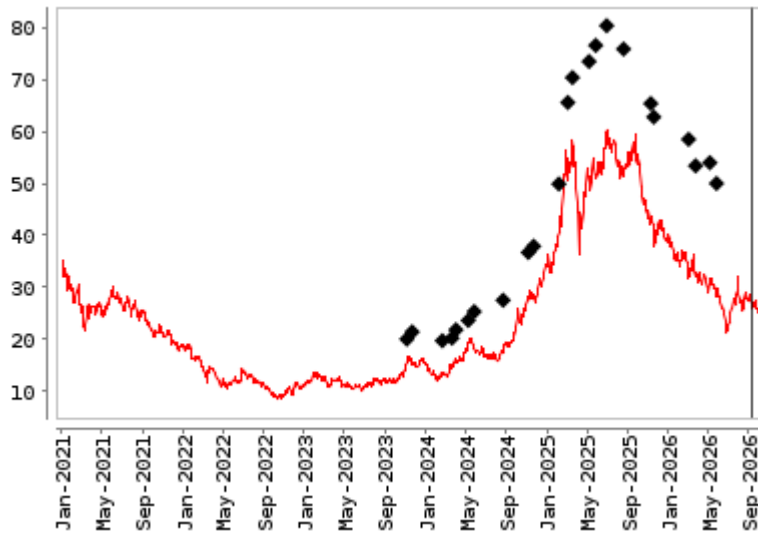
**Sunny Optical (2382.HK) share price performance HKD
Vs HSBC rating history**


Source: HSBC

Rating & target price history

From	To	Date	Analyst
Hold	Buy	22 Mar 2021	Frank He
Buy	Hold	26 Mar 2024	Frank He
Hold	Buy	26 Aug 2024	Frank He
Target price	Value	Date	Analyst
Price 1	96.40	25 Jul 2023	Frank He
Price 2	89.70	16 Jan 2024	Frank He
Price 3	41.40	26 Mar 2024	Frank He
Price 4	45.30	21 Jun 2024	Frank He
Price 5	47.10	26 Jul 2024	Frank He
Price 6	58.90	26 Aug 2024	Frank He
Price 7	84.50	11 Dec 2024	Frank He
Price 8	103.60	14 Feb 2025	Frank He
Price 9	98.30	25 Mar 2025	Frank He
Price 10	105.40	20 Aug 2025	Frank He
Price 11	84.30	10 Mar 2026	Bingyi Zheng
Price 12	86.90	24 Apr 2026	Bingyi Zheng

Source: HSBC

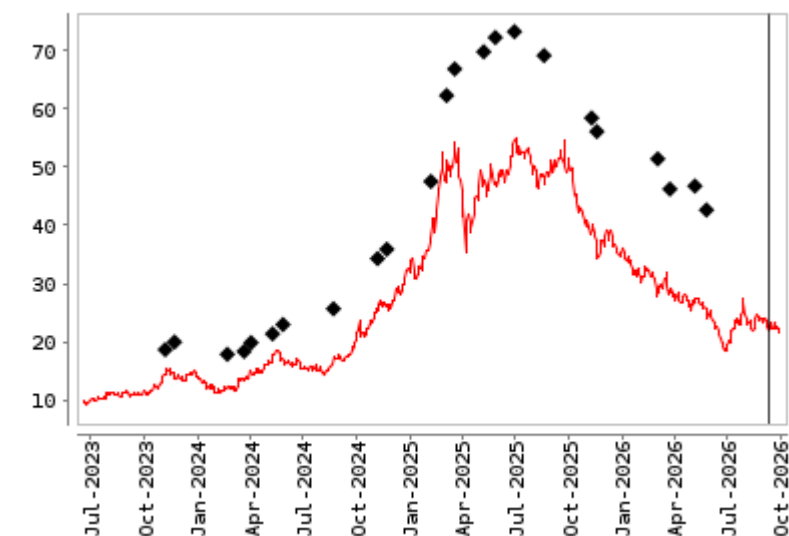
Xiaomi (1810.HK) share price performance HKD Vs HSBC rating history


Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	20-Jul-2023	Frank He
Buy	Terminated	10-Sep-2026	
Target price	Value	Date	Analyst
Price1	15.60	07-Sep-2023	Frank He
Price2	20.00	06-Nov-2023	Frank He
Price3	21.40	22-Nov-2023	Frank He
Price4	19.70	21-Feb-2024	Frank He
Price5	20.20	21-Mar-2024	Frank He
Price6	21.80	02-Apr-2024	Frank He
Price7	23.60	09-May-2024	Frank He
Price8	25.30	27-May-2024	Frank He
Price9	27.50	22-Aug-2024	Frank He
Price10	36.70	06-Nov-2024	Frank He
Price11	37.90	22-Nov-2024	Frank He
Price12	49.90	06-Feb-2025	Frank He
Price13	65.60	05-Mar-2025	Frank He
Price14	70.40	19-Mar-2025	Frank He
Price15	73.50	08-May-2025	Frank He
Price16	76.60	28-May-2025	Frank He
Price17	80.40	30-Jun-2025	Frank He
Price18	75.90	20-Aug-2025	Frank He
Price19	65.40	10-Nov-2025	Frank He
Price20	62.80	19-Nov-2025	Frank He
Price21	58.50	04-Mar-2026	Bing Yi Zheng
Price22	53.40	25-Mar-2026	Bing Yi Zheng
Price23	54.00	07-May-2026	Bing Yi Zheng
Price24	50.00	27-May-2026	Bing Yi Zheng
Price25	Terminated	10-Sep-2026	

Source: HSBC

Xiaomi (81810.HK) share price performance CNY Vs HSBC rating history

Rating & target price history

From	To	Date	Analyst
N/A	Buy	07-Sep-2023	Frank He
Buy	Terminated	10-Sep-2026	

Target price	Value	Date	Analyst
Price1	14.60	07-Sep-2023	Frank He
Price2	18.70	06-Nov-2023	Frank He
Price3	20.00	22-Nov-2023	Frank He
Price4	17.90	21-Feb-2024	Frank He
Price5	18.40	21-Mar-2024	Frank He
Price6	19.90	02-Apr-2024	Frank He
Price7	21.40	09-May-2024	Frank He
Price8	23.00	27-May-2024	Frank He
Price9	25.70	22-Aug-2024	Frank He
Price10	34.30	06-Nov-2024	Frank He
Price11	35.90	22-Nov-2024	Frank He
Price12	47.52	06-Feb-2025	Frank He
Price13	62.24	05-Mar-2025	Frank He
Price14	66.79	19-Mar-2025	Frank He
Price15	69.73	08-May-2025	Frank He
Price16	72.18	28-May-2025	Frank He
Price17	73.18	30-Jun-2025	Frank He
Price18	69.09	20-Aug-2025	Frank He
Price19	58.39	10-Nov-2025	Frank He
Price20	56.07	19-Nov-2025	Frank He
Price21	51.38	04-Mar-2026	Bing Yi Zheng
Price22	46.21	25-Mar-2026	Bing Yi Zheng
Price23	46.73	07-May-2026	Bing Yi Zheng
Price24	42.63	27-May-2026	Bing Yi Zheng
Price25	Terminated	10-Sep-2026	

Source: HSBC

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BESTECHNIC	688608.SS	110.54	28 Sep 2026	–
SUNNY OPTICAL	2382.HK	62.30	28 Sep 2026	4, 6, 7, 11
XIAOMI	1810.HK	25.86	28 Sep 2026	4, 7, 11, 12

Source: HSBC

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